



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		File:	10/17/1 & 10/14/1 & 10/7/1/11/1	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	30 January 2004	01 February 2004	127.A.i (LT)	In force	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Cross border business				

1. Introduction

The purpose of this directive is to provide information on the position of foreign insurers and the issuance of long-term insurance policies denominated in foreign currency by registered long-term insurers following the relaxation of exchange control restrictions on South African residents from 1 July 1997.

2. Foreign insurers

In order for a foreign insurer to carry on business in South Africa such insurer must meet the necessary criteria to conduct business in the RSA, which means that the foreign insurer will be subject to the South African regulatory provisions under the supervision of the Financial Services Board (FSB). Accordingly foreign insurers will continue to be required to incorporate a local subsidiary company in terms of the Companies Act, 1973, which subsidiary should register as a long-term insurer in terms of the Long-term Insurance Act, 1998 for the purposes of carrying on long-term insurance business in South Africa. It is not expected that there will be any change in this requirement, to allow a foreign insurer to operate through a branch office in South Africa, in the foreseeable future.

This Office will take rigorous action against persons that conduct long-term insurance business without being registered to do so under the Long-term Insurance Act, 1998.

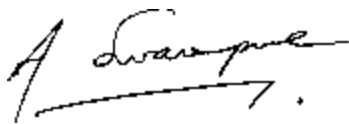
3. Position of South African registered long-term insurers who wish to issue foreign denominated policies in terms of Long-term Insurance Act

Following discussions between the FSB and the South African Reserve Bank ("SARB") the conditions under which South African long-term insurers may issue policies denominated in foreign currency have been clarified as follows:

- (a) Long-term insurance policies, denominated in foreign currency, may be bought by a South African resident from a foreign branch of a long-term insurer incorporated and registered in South Africa, on condition that the long-term insurer adheres to any applicable Exchange Control Requirements.
- (b) The South African resident will have to apply to an authorised exchange control dealer of the SARB for approval to obtain foreign currency. This will involve complying with all the requirements of the SARB. Insurers may not apply on behalf of the proposer.
- (c) All foreign investments, whether it is in a unit trust, bank deposit, insurance policy or any other foreign investment, must collectively be within the limit (currently R750 000) per individual, as allowed for by the SARB.
- (d) In terms of this concession it will not be possible for an RSA long-term insurance policy issued before 1 July 1997 to be converted into a foreign currency denominated policy. This concession will apply only to new insurance policies issued after 1 July 1997.
- (e) An RSA based long-term insurer that wishes to establish an off-shore branch, will have to apply to the SARB for approval to do so and inform the FSB accordingly.

4. Information sharing

This directive is available on the website (www.fsb.co.za) of the FSB. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



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